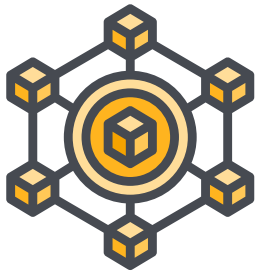
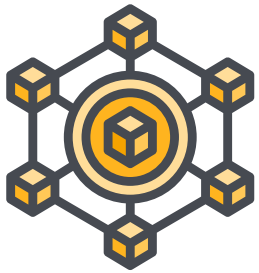
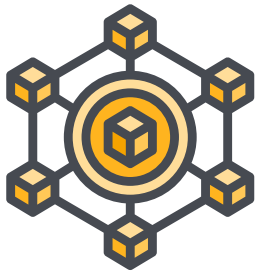
DeFi Basics



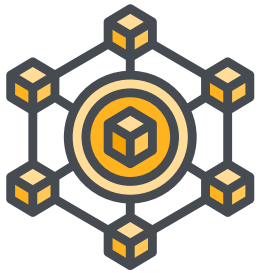
- DeFi = Decentralized Finance (no banks, no intermediaries)
- Built on blockchain using smart contracts
- Users control their own funds via crypto wallets
- Open, permissionless, and transparent financial system



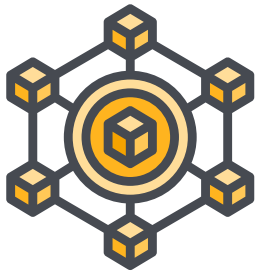
Liquidity Pools



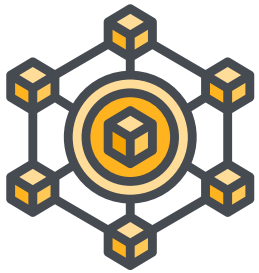
- Pool of crypto tokens locked in a smart contract
- Used for trading without traditional buyers/sellers (AMM model)
- Users called Liquidity Providers (LPs) add funds
- LPs earn trading fees as rewards
- Prices determined by token ratio in pool
- Risk: Impermanent Loss



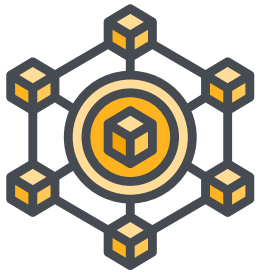
Staking



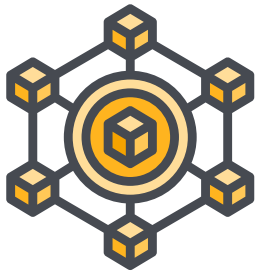
- Locking crypto to support blockchain network
- Helps in network security and validation
- Users earn rewards (interest-like returns)
- Funds are usually locked for a specific period
- Common in Proof of Stake (PoS) blockchain.



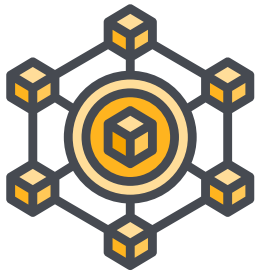
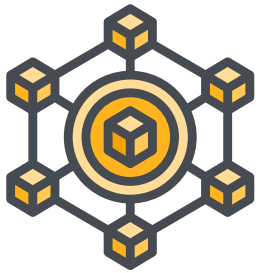
Yield Farming



- Strategy to maximize crypto returns
- Moving funds across different DeFi protocols
- Earn rewards via tokens, fees, incentives
- Often involves liquidity pools + staking
- Higher returns but higher risk



Key Differences



Risks in DeFi